

CHAPTER 3

Sources of Information

IT IS IMPOSSIBLE to discuss or even to list all the sources of information which the analyst may find it profitable to consult at one time or another in his work. In this chapter we shall present a concise outline of the more important sources, together with some critical observations thereon; and we shall also endeavor to convey, by means of examples, an idea of the character and utility of the large variety of special avenues of information.

DATA ON THE TERMS OF THE ISSUE

Let us assume that in the typical case the analyst seeks data regarding: (1) the terms of the specific issue, (2) the company, and (3) the industry. The provisions of the issue itself are summarized in the security manuals or statistical services. For more detailed information regarding a bond contract the analyst should consult the indenture (or deed of trust), a copy of which may be obtained or inspected at the office of the trustee. The terms of the respective stock issues of a company are set forth fully in the charter (or articles of incorporation), together with the by-laws. If the stock is listed, these documents are on file with the S.E.C. and also with the proper stock exchange. In the case of both bonds and stocks, the listing applications—which are readily obtainable—contain nearly all the significant provisions. Prospectuses of new issues also contain these provisions.

DATA ON THE COMPANY

Reports to Stockholders (Including Interim News Releases). Coming now to the *company*, the chief source of statistical data is, of course, the reports issued to the stockholders. These reports vary widely with respect to both frequency and completeness, as the following summary will show: